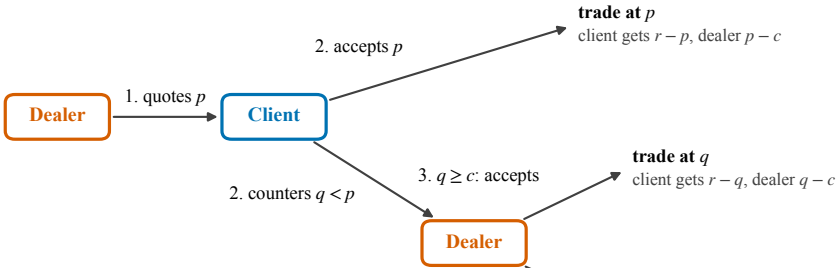

Dealer knows: m, its cost c, the prior on r.
Client knows: m, its limit r, the prior on c, the dealer's rule (step 3); in the band conditions, also the band.

Notation

m	evaluated price: an indicative price both sides see
c	dealer's cost; private to the dealer
r	client's limit, the most it will pay; private to the client
p	dealer's quote
q	client's counteroffer
g	price unit: 1/10 of daily price volatility (about $3,400 on $10mm)
band	disclosed range for the dealer's cost, from 10 other dealers' trades